

TONIGHT DARLING

A Madhya Pradesh minister's rantings against the PSU for selling vibrating condoms doesn't take the sheen off HLL, which is all set to become the world's largest condom maker

■ M.G. Radhakrishnan

Until about a decade ago, Hindustan Latex Ltd (HLL), like most other public sector undertakings (PSU) was lurking in the red. Its sole product was the notoriously fragile Nirodh, given away free by the health ministry at family planning centres and government hospitals or sold at roadside shops to a clientele that consisted mostly of truck drivers and sex workers. Last fortnight, HLL made news worldwide, with *Time* and the BBC being among those that ran features on the company.

The reason for all this attention on India's sole public sector condom manufacturer had as much to do with the antics of a publicity-hungry minister of the Madhya Pradesh Government, as with the sudden turnaround in HLL's bottom line. Kailash Vijayvargiya, the minister for energy and public works in the state's BJP Government seethed with moral outrage against one of the company's product Crezendo, a pack of condoms with a vibrator costing Rs 125, that has sold more than two lakh units since it came on the shelves in March this year. The minister was livid enough to complain to Prime Minister Manmohan Singh that the battery-operated vibrator ring, to be worn over the ribbed condom, "was more of a sex toy, which is antithetical to Indian traditions and morality". He was equally incensed that the PSU was promoting carnal pleasure instead of family planning.

Though the minister found support from even political opponents belonging to the Congress and CPI(M), the row

died down after the Madhya Pradesh Government rejected his demand for a ban on the product. Anbumani Ramadoss, Union health minister, also defended the condom, which he said was launched not as a sex toy. "HLL has only adopted a good marketing technique to compete with its rivals in the private sector," he said. Nobody is more pleased with all the free publicity than M. Ayyappan, HLL's chairman and managing director. "All the attention and the market response that Crezendo got has been phenomenal," he said. Thanks to the controversy, this has emerged as one of the most successful launches by the PSU in its 40 years of existence.

The controversy has revealed highly competitive product innovation and ingenious marketing strategies adopted in recent times by HLL that have made possible the turnaround in its fortunes. Deep in the red for almost 30 years, it posted a net profit of Rs 21 crore last year and in PSU parlance is nowadays referred to as a Mini Ratna. With a production of about a billion pieces a year, it is one of the world's largest condom manufacturers. From a



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single brand company, it has gone on to become the maker of a rich array of condoms and contraceptives, catering to all—the lower segments, the luxury and the premium segments—which were once dominated by private players. Although 75 per cent of its total production still goes to the government for its family planning programmes and international institutions like the United Nations population programme, HLL recently brought about a revolution in its premium brand segment, which has become the cause of some anxiety for private sector manufacturers. Today its premium condom, Moods, has 15 variants: scented (jas-

"The response to vibrating condoms has been phenomenal"
M. AYYAPPAN, CMD, HINDUSTAN LATEX LTD